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NXP Semiconductors: Credit Drivers



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NXP Growth Recovery, Cash Flow Strengthen as AI Appeal Lags

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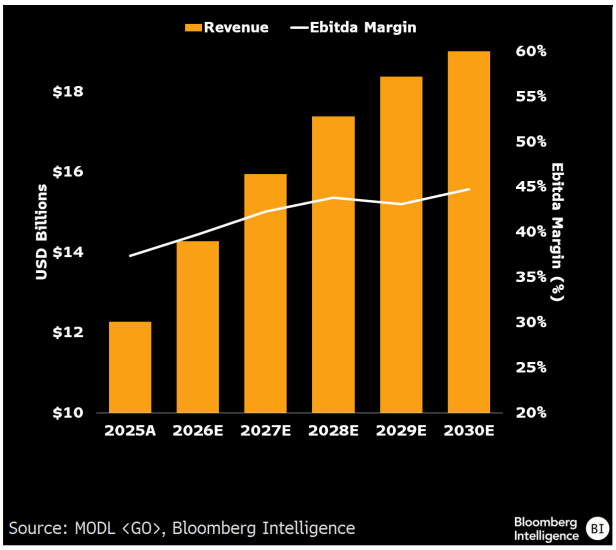
(Bloomberg Intelligence) -- NXP's improving growth and strong cash generation should support further deleveraging while management maintains its shareholder-friendly return policy. Revenue momentum is recovering across key end-markets, though limited direct AI exposure leaves growth more dependent on auto, industrial and communications demand. Recent debt repayment has strengthened the balance sheet, and continued cash generation should support further debt reduction without materially weakening shareholder returns. (09/24/26)

1. Revenue Recovery Appears on Track After Two-Year Slide

Contributing Analysts Suchi Trivedi

NXP's revenue recovery is broadening, with Automotive and Industrial & IoT providing the strongest support as demand improves and company-specific growth drivers gain traction. Consensus expects both segments to grow at double-digit rates in 2026, with Industrial & IoT rising almost 30%. Management's longer-term framework targets about $16 billion of revenue by 2027, roughly in line with consensus. Ebitda margins near 40% support strong free cash flow, while $1.25 billion of debt repayment in 1H26 helped cut gross leverage to 2.1x from 2.6x at the end of 2025. (09/23/26)

Revenue & Ebitda Consensus Expectations



2. Free-Cash-Flow Growth May Boost Liquidity

NXP's relatively low capital-intensity model means free cash flow could stay abundant even with negative revenue growth. Free-cash-flow expectations of $2.5 billion in 2025 may rise at a 16% compounded annual growth rate through 2028. A return to top-line and Ebitda growth with excess cash generation would enable NXP to expand shareholder returns without affecting its high grade

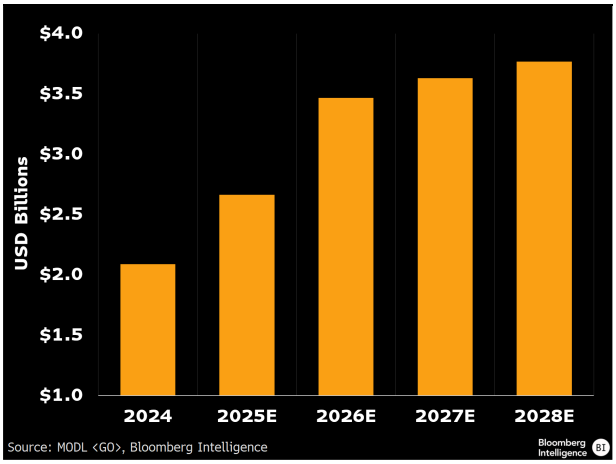
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ratings profile, yet we note leverage is temporarily elevated above its 2x gross target due to pre-funding of 2026 obligations.

NXP repaid $500 million of debt in 2Q, and remains opportunistically acquisitive with multiple pending deals which will likely draw on cash balances. (09/08/25)

NXP Free-Cash-Flow Forecast



3. Solid BBB Ratings Profile Reflect Stability

NXP's ratings are stable across all raters, and changes appear unlikely over the near-to-intermediate term. Moody's upgraded NXP to Baa2 in December following a prolonged positive outlook. Raters would like to see gross leverage of about 2x and net leverage sustained at around 1x for further upgrades to materialize, which we view as unlikely given its shareholder-return program.

A commitment to a more conservative financial policy would help ratings, yet also seems unlikely given its longstanding policy of returning 100% of free cash flow to shareholders. (09/23/26)

Click for Rater Targets and Notes

Ratings	Moody's	S&P	Fitch
Outlook	Stable	Stable	Stable
Sr. Unsecured Notes	Baa2	BBB+	BBB+
Possible Triggers:			
Upward Bias	Sustainable High-Single-Digit Revenue Growth	Adj Leverage <1x	Net Leverage Near 1x
	Maintains Gross Leverage About 2x	Commitment to More Conservative Financial Policy	CFO-Capex/Total Debt > 30%
Downward Bias	Gross Leverage Nearer 3x Sustainably	Adj Leverage > 2x	Gross Leverage > 2x
	Declining Operating Profits	Aggressive M&A	Sustained Negative Revenue Growth
Note:	Click	Click	Click

Source: Bloomberg Intelligence

Bloomberg Intelligence

4. Net Leverage Well Below Target Zone

Management hasn't wavered from its 2x net-leverage goal, while current Ebitda and $3.3 billion cash balance mean net leverage of 1.4x is well-within target. The company's leverage is already higher than some peers, but is less volatile. Broadcom, Qualcomm, AMD, Applied Materials and Nvidia have considerably lower net leverage, with NXP better positioned than Intel.

A strong balance sheet and liquidity position persist, suggesting that with leverage below above its target, increased dividends, share buybacks and investments may return over the next 12 to 24

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months. (04/25/25)

Run CRAN <GO> for Further Analysis

Measures	NXPI (BBB+/N.A./BBB+)	AVGO (BBB+/Baa1/BBB)	QCOM (A/A2/N.A.)	AMAT (A/A2/N.A.)
EBITDA Margin (%)	38.69	67.56	38.42	31.65
EBIT Margin (%)	32.65	65.09	34.89	29.84
FCF/Debt (%)	25.41	46.07	99.17	100.25
FCF/Sales (%)	24.50	49.31	33.32	23.40
FFO/Debt (%)	31.76	51.02	100.42	120.46
Debt/EBITDA (x)	2.49	1.58	0.87	0.74
Net Debt/EBITDA (x)	1.39	0.90	-0.29	-0.55

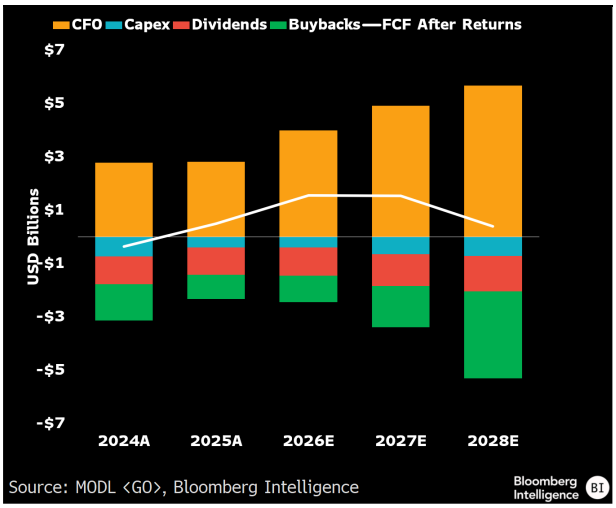
Source: CRAN <GO>, Bloomberg Intelligence

5. Targeting Return of All Excess Free Cash Flow

Contributing Analysts Suchi Trivedi

NXP's policy of returning all excess free cash flow through buybacks and dividends should limit cash accumulation, though recent debt paydown shows the company can still reduce leverage. Cumulatively in 2016-1H26, NXP returned about $23.4 billion to shareholders, which was roughly 95% of free cash flow. Its dividend policy is 25% of free cash flow, with the remainder earmarked for buybacks. (09/23/26)

NXP Capital Allocation



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